

Economic Sutras

Lecture Notes

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Introduction

The concept of Economic Sutra reflects how India has long viewed wealth not just as material gain but as a blend of prosperity, ethics, and spirituality. This spirit is beautifully seen in Diwali traditions like Shubh-Labh and Lakshmi Pujan, where wealth is welcomed as sacred and tied to collective well-being. The Indian economy has always stood out in world history because of its distinctive cultural values and ethical approach to wealth creation and distribution. Ancient India led the world in GDP for nearly 1500 years, highlighting its economic success under indigenous principles. The central themes are entrepreneurship, charity (daan), and balancing desires with ethical earning.

Bharat as a Highest Contributor in GDP:

The history of India begins with the dawn of Indus Valley civilization which flourished between 3500 BC to 1800 BC. The Indus civilization's economy appears to have depended significantly on trade, which was facilitated by advances in transport. Its citizens practiced agriculture, domesticated animals, made sharp tools and weapons from copper, bronze and tin and traded in terracotta pots, beads, gold and silver, coloured gem stones and metals, flints, seashells and pearls.

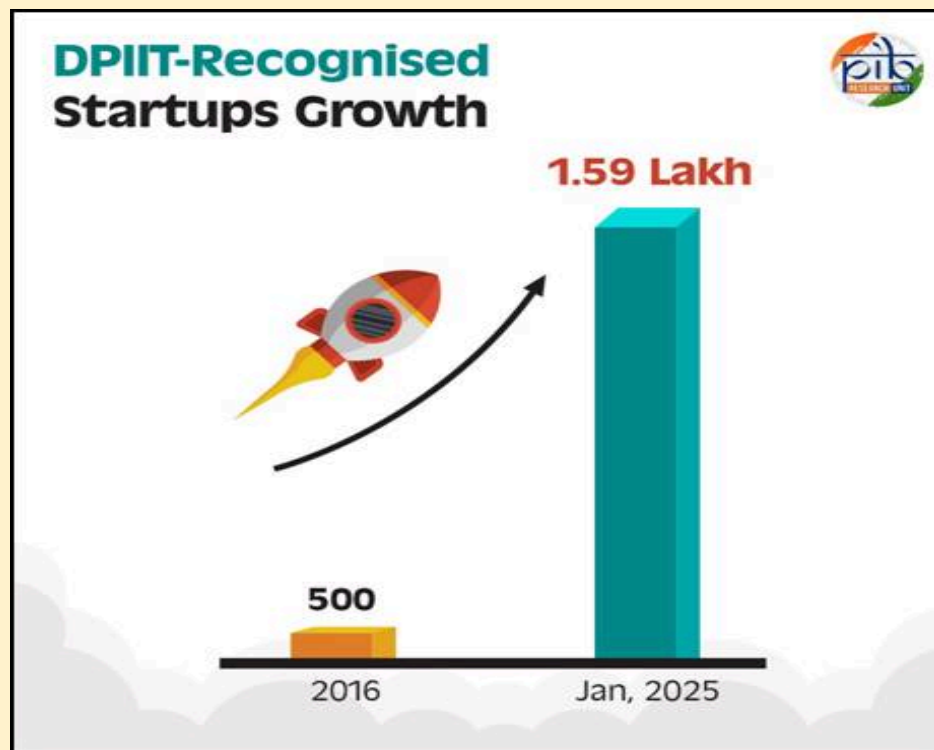
They used ships to reach Mesopotamia where they sold gold, copper and jewellery. The period was marked by intensive trade activity and urban development. The improved infrastructure combined with increased security, greater uniformity in measurements, and increasing usage of coins as currency enhanced trade. Between 1st and 17th centuries AD, India is estimated to have had the largest economy of the ancient and medieval world, controlling between one third and one fourth of the world's wealth.

GDP in millions of 1990 International Dollars

Year	1000 AD	1500 AD	1600 AD	1700 AD
India	33,750	60,500	74,250	90,750
China	26,550	61,800	96,000	82,800
West Europe	10,165	44,345	65,955	83,395
World Total	116,790	247,116	329,417	371,369

Sutra 1: Highly Entrepreneurial in Nature:

India has always been a land of entrepreneurs where economic activity was driven by innovation, trade, and professional skills. We find these days that due to the favourable environment the startups are growing at a rapid rate, the question which arises here is that is it for the first time that we are growing in terms of new innovation and startups?



When we try to find the answers for the same we see that entrepreneurship is inherited in us, we always had a guild system, *varna vyavasta* in which Vaishyas were the people who carried out businesses.

1. **Scriptural Reference:** One finds mention of such numerous professions in Shukla Yajurveda as an integral part of the socio-economic system. They include acrobats to astrologers, basket-makers to butchers, carpenters to charioteers, physicians to priests, weavers to warriors, goldsmiths, and many more. The hymns pay homage to these professionals for working for the entire community.

The Shukranitisara states, "There is no person who is worthless, but rare indeed is an entrepreneur," showing high respect for entrepreneurial abilities.

अमन्त्रमक्षरं नास्ति, नास्ति मूलमनौषधिम्।
अयोग्यः पुरुषो नास्ति, योजकः तत्र दुर्लभः॥2.253-255।

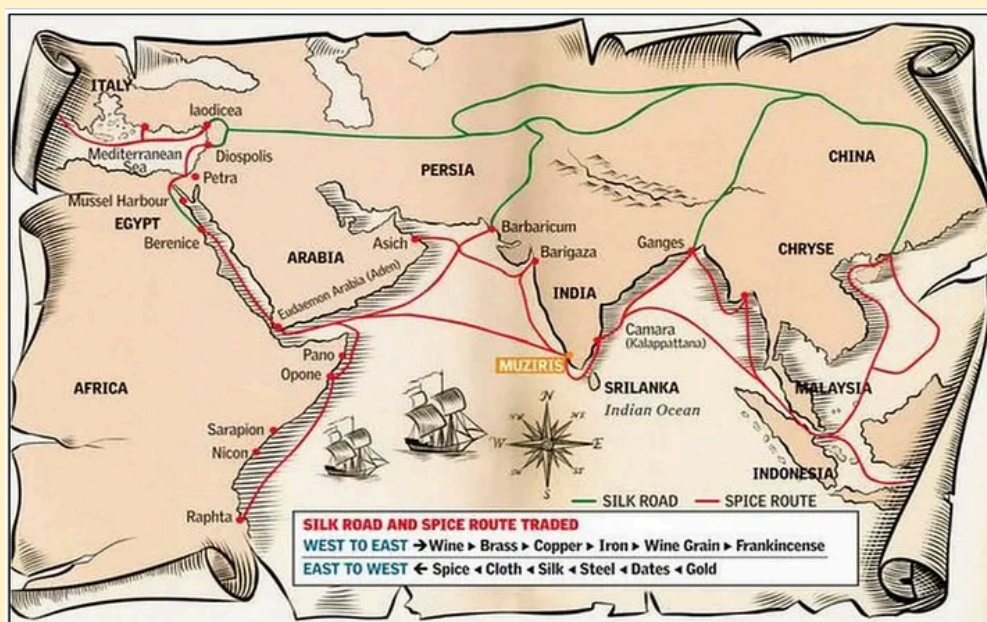
2. Trade Legacy:

India's position on the Silk Road and its spice trade with other civilizations contributed greatly to its prosperity. India's strategic location on ancient trade routes, including the Silk Road, facilitated the exchange of spices with other civilizations. Spices like black pepper, cardamom, and cinnamon were highly sought after, contributing to India's economic prosperity.

The Spice Routes (maritime routes) were established around 3000 BCE and this was two thousand years before the Silk route (the land route) was established. True to its name, the land route was used to trade silks, while the maritime routes were used to trade cinnamon, ginger, cloves, and pepper etc.

To break the trade monopoly, Vasco Da Gama found a sea route to India from the Cape of Good Hope which he realized would break the trade monopoly that the Arabs had and would make an inroad for his people, the Portuguese.

The spices that were once unique and exclusive to India ceased to be so because of globalization and advancement in science and tech. Spices were soon able to grow at scale in other parts of the world with similar climates. By the end of the 20th century, the Spice Route itself lost its significance.



3. Indian Women in Business- 11th Century:

In the 9th Ahga of the Jaina canonical literature, *Anuttaropapatika Dasa Sutram*, there is a reference to a woman named **Bhadra Satthavahi** who was a caravan leader.

The text mentions, "*tattha nam Kagandie nagarie Bhadda namam satthavahi parivasai*," which means

Bhadra lived in a town called Kakandi and was a skilled trader. She was very wealthy and lived a lavish life, as evidenced by the thirty-two large buildings she had constructed for her son, Dhanya Kumara, and his thirty-two wives. This record demonstrates that women in ancient India were actively involved in business and were not limited to traditional household activities. Bhadra Satthavahi is a prime example of 6 women who played an active role in commerce, proving that they were not far behind their male counterparts in this field.

4. BUSINESSMAN FROM GUJARAT- 17TH CENTURY

Bhimji Parikh was a businessman born in Surat in 1610. He was the first Indian to import printing machinery to India and the first to attempt printing in the Indian script. At the time, there was only one printing press in India, owned by the Portuguese in Goa, which was used to print the Bible.

Bhimji Parekh introduced Bombay's first printing press in 1674–75 to print Brahmin manuscripts. He was a Surat-born businessman and East India Company broker. Despite importing the press, type-founding for Indian scripts was unsuccessful, so early printing was mostly in English.

5. **Modern Connection:** Favorable conditions for entrepreneurship exist even today, as seen in the rise of start-ups and business ventures. If we try to see the example of Zoho, we can understand that startups can gain high profits by inculcating ideas as well. Link for business case study of Zoho:

<https://youtu.be/Y3I073KSs6Q?feature=shared>

Key Takeaways:

- India has been recognized as a land of entrepreneurs for centuries, maintaining this identity from ancient times to the present due to a favorable environment for business and trade.
- India exported valuable goods such as spices, which contributed greatly to economic prosperity.
- Historical examples include women entrepreneurs like Bhadra Satthavahi, a wealthy caravan leader and Bhimji Parikh who introduced printing technology to India.

Sutra 2: Economy driven through *Daan* (Charity):

Sutra 2 centers on how the Indian economy has long been driven through daan (charity/donation), making philanthropy and communal sharing a foundational principle of Indic economic thought.

1. **Vedic Basis for Charity:** Indian scriptures emphasize generous giving, with Atharva Veda stating "Earn with hundred hands and donate with thousand," highlighting the ideal of producing wealth but sharing even more with society.

शतहस्त समाहर सहस्रहस्त संकिर । (Atharva Veda 3.24.5)

2. **Five Divisions of Wealth- Shukracharya:**

Sukracharya says to King Bali:

धर्माय यशसेऽर्थाय कामाय स्वजनाय च ।

पञ्चधा विभजन्वित्तमिहामुत्र च मोदते ॥ SB 8.19.३७ ॥

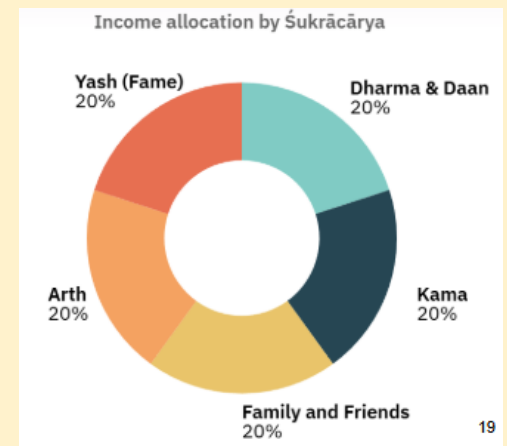
One portion- for dharma and Daan

One portion for- one's own shreyas.

One portion- to augment one's current wealth.

One portion- to run everyday life.

One portion- to help near and dear ones.



3. **Alberuni Ideas About Indians Wealth Division:**

A quote of Alberuni from his eleventh century book: Tarikh Al-Hind

(Sachau, 1910; pp. 149-50): '**There are various opinions on how Indians spent their income after paying taxes. Some apportion one-ninth of their income for alms.** Others divide it in four parts —one fourth for usual common expenses, the second for works of a noble mind, the third for alms and the fourth for being kept in reserve (savings).'

This shows that Indians had always a habit of allocating wealth for charity and donations.

4. **Philanthropists since Ancient Time:** There is a reference to a generous philanthropist and businessman, Anathapindika (Ref: Sudatta Sutta). His name was Sudatta but because he was always ready to give to the hungry, the homeless or the dispossessed, he was known by everybody as Anathapindika,

meaning 'the feeder of the poor'. Sudatta was recognized as a wealthy individual who played a crucial role in supporting the Buddha. He is noted for his generosity, particularly in providing hospitality and establishing a vihara, which served as a place for the Buddha and his followers.

5. **Modern Examples:** Even today, major social and scientific initiatives, such as India's Vaccine Maitri program, exemplify this ethos by sharing crucial resources with other nations. We see Tata being remembered vividly as a philanthropist.
6. **Social and Economic Impacts:** Donation is not just a spiritual or ethical pursuit but supports infrastructure, knowledge centers, artists, and artisans, creating a stable social fabric and ensuring economic sustainability. Kings in ancient India were expected to reward excellence and uphold timely payments to artisans and soldiers, fostering prosperity through encouragement and generosity.

Key Takeaways:

- Charity (daan) is a structural tenet of the Indian economy, advocated since Vedic times.
- Wealth distribution was carefully prescribed for communal benefit, sustainability, and righteous living.
- India's tradition of philanthropy remains central in modern social initiatives and welfare.

Sutra 2 thus enshrines the principle that prosperity is not truly sustainable without giving, and daan is inseparably woven into the Indian model of economics.

Sutra 3: Balance between Desires and Wealth Generation:

Sutra 3 emphasizes the harmonious balance between pursuing material wealth and managing personal and societal desires. The Indic model promotes wealth not as an end in itself but as a means to support ethical living, well-being, and higher spiritual goals.

1. **The Rig Veda's Shri Sukam:** prays for blessings of wealth and fame while implying that prosperity should bring glory and prosperity that benefits society as a whole, not just individual accumulation. It acknowledges diverse aspirations and ways people seek wealth but underscores that these desires must be aligned with larger societal values. The Sri Sukam from the Rig Veda is a hymn dedicated to Goddess Lakshmi, whose importance lies in its ability to invoke prosperity, wealth, and well-being for the reciter. Beyond material gains, it also facilitates spiritual growth, emotional balance, and a general sense of abundance and joy.

Upaitu maam devasakhah keertishcha manina saha |

Pradurbhuto'smi rashtrae'smin keertimriddhim dadatu me. ||7||

- O Devi may Devasakha Kubera and his friend Manibhadra, along with Daksha Prajapati's daughter Kirti, bless me with wealth and fame. I am born in this nation; may they grant me glory and prosperity.
2. **Wealth as Artha, Not the End:** In Indic philosophy, artha (wealth) is one of the four purusharthas (life aims), where wealth generation is an important pursuit but always balanced by dharma (ethics), kama (well-being), and moksha (liberation). Wealth is a tool for fulfilling life's duties and desires sustainably rather than unchecked accumulation and self desires satisfaction.
 3. **Indic Economic Development Model:** The Indic economic model, as reflected in these sutras, seeks sustainable development that balances prosperity with ethics, well-being, and spiritual growth. Unlike modern materialistic growth

models, it calls for sharing prosperity aligned with higher human values for collective flourishing.

Symbolism of Ashta Laxmi:

The Ashta Laxmi eight forms of Goddess Lakshmi symbolize a balanced prosperity:



Adi Laxmi: new beginnings and prosperity

Dhana Laxmi: material wealth and possessions

Dhanya Laxmi: grains and nourishment for nurturing the society

Gaja Laxmi: Fame and influence in the society

Santana Laxmi: family and well-being of the future generation

Dhairya Laxmi: courage and grit, developing patience in life

Vidya Laxmi: knowledge and wisdom for achieving goals and targets

Vijaya Laxmi: victory and achievement in every aspect of life

This symbolism reflects that prosperity encompasses much more than monetary wealth, including courage, knowledge, nourishment, and family welfare.

